

TOPIC 6: COMMERCE – THE HEART OF BUSINESS I

1. Meaning of Commerce

Commerce is the buying and selling of goods and services and all the activities that make trade possible. It is the link between the producer and the consumer. Commerce is often called the heart of business because without it, goods would not reach those who need them.

2. Importance of Commerce

- Makes goods and services available to consumers
- Creates employment opportunities
- Encourages production and specialisation
- Raises the standard of living
- Generates revenue for government (taxes)
- Promotes international relations through foreign trade
- Facilitates the exchange of ideas and culture

3. Activities that Aid Commerce (Aids to Trade)

These are services that support and make trade easier:

- **Transport** – moves goods from producers to markets (road, rail, air, sea)
- **Warehousing / Storage** – keeps goods safe until needed
- **Banking and Finance** – provides money, loans and payment facilities
- **Insurance** – protects against risks (fire, theft, accident)
- **Advertising and Communication** – informs buyers about products
- **Packaging** – protects and makes goods attractive
- **Trade associations and chambers of commerce**

4. Summary

Commerce is the buying and selling of goods and services and the activities that support trade. It is vital for economic growth. Aids to trade include transport, warehousing, banking, insurance and advertising.

End of Topic 6